FIN422: Fundamentals of Investments

Term Paper on :

Equity Research Report and Valuation Analysis

SECTION: 03

FALL 2024

DEPARTMENT OF BBA

BRAC BUSINESS SCHOOL

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Industry and Company Selection

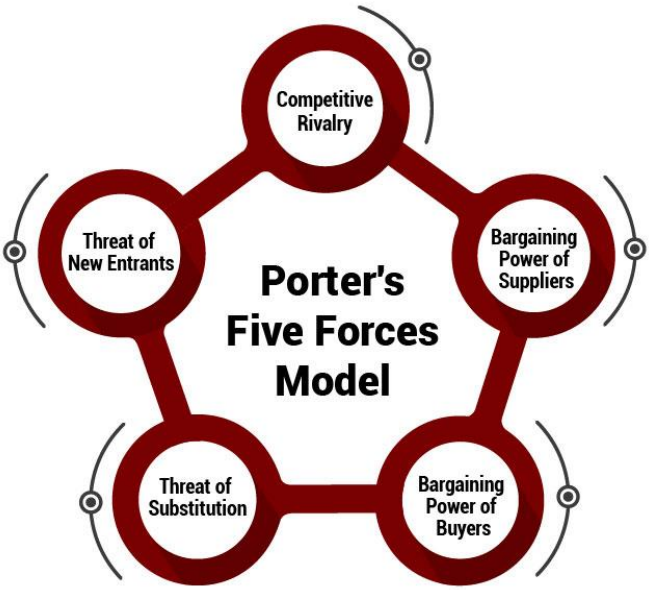
The pharmaceuticals industry in Bangladesh is considered one of the fastest growing industries at present. Statistics show that the Pharma industry of Bangladesh pays the second largest revenue to the Government . According to a report from Bangladesh Association of Pharmaceutical Industries, **97%** of the total demand of pharmaceutical products is met. Besides fulfilling the local demand, Bangladesh is also exporting its formulations to 62 countries worldwide (mainly Asia, East Europe and Africa), and the demand for export is on the rise (The Daily Star, 2021). The Pharmaceutical industry is also considered one of the most technologically advanced manufacturing industries in the country. In the fiscal year 2020-2021 alone, the industry has generated export values of up to **USD 169 Million** (Dhl). Bangladesh Investment Development Authority (BIDA) estimates that the cumulative value of the domestic market is expected to exceed **USD 6 Billion** by the end of 2025 - presenting an abundance of opportunities for the companies in this sector.

The companies chosen are - **Square Pharma**, **Beximco Pharma**, **Renata** and **Ibn Sina Pharmaceuticals Ltd**. The chosen companies are at present the market leaders in the sector and hence provides us a better insight into the differences between their performances and growth potential. Among these companies, Square Pharma and Beximco Pharma's growth have been recognised due to the companys' focus on the successful test of their products in large clinical trials as well as promoting effectively with the help of an extensive marketing and sales presence. Ibn Sina pharma has also showcased impressive growth insights in recent years, especially during October 2023 when the company announced **63 percent** cash dividends, its highest payout in 7 years (The Daily Star, 2024). Renata Pharma, on the other hand has faced some setbacks in its performance, with a fall of **43 percent** in its profits despite reporting higher sales during the first quarter of 2024 (The Daily Star, 2024).

Despite the difference in the trends of profit growth, market growth potential, etc of these companies, they still continue being the market leaders of the sector and hence we believe choosing these companies for our research analysis is optimal.

Macroeconomic Analysis of Pharmaceutical Industry in Bangladesh

The World Trade Organization's (WTO) Trade-Related Aspects of Intellectual Property Rights (TRIPs) agreement allowed the manufacture of high quality medicines in Bangladesh through reverse-engineering of patented generic pharmaceutical products. This helped strengthen the local production of medicines as well as provided opportunities for the local companies to export the products in over 85 countries across the globe. The Drug Act 1940, implemented by the Bangladesh Government in the year 1974, played a key role in safeguarding the local pharmaceutical market by limiting imports of similar locally produced medicines.



Porter's Five Forces

To better understand how the pharmaceuticals industry in Bangladesh is operating, the Porter's Five Forces Model has been used for the analysis.

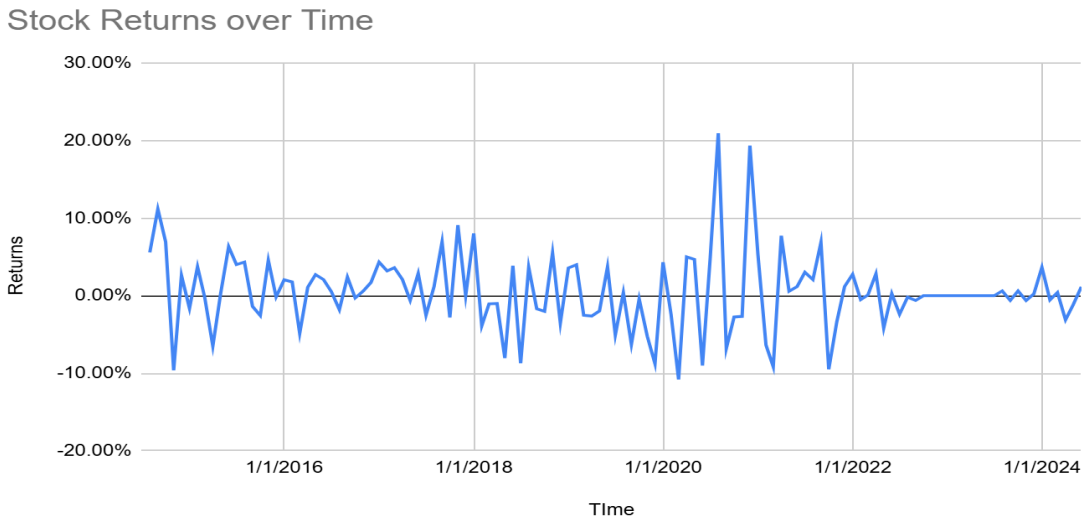
- **Competitive rivalry** - Bangladesh's pharmaceutical industry is overseen by the Bangladesh Association of Pharmaceutical Industries (BAPI), which includes members of large, medium, small, national and foreign companies. The competitive rivalry within this industry is **moderate.** This is because our pharmaceutical industry remains largely protected from the external competition of foreign companies entering the market. Imports are restricted for drugs that are similar to those produced locally (Bangladesh.uz). This helps local drug manufacturers to dominate the market and hence the competitive rivalry within the pharmaceutical industry is mostly local drug manufacturers producing generic pharmaceutical products and exporting to the international markets around the globe.
- **Threat of new entrants** - The threat of new entrants in the pharmaceutical industry in Bangladesh can be considered to be **moderate to low.** This is because, even though there are a lot of new emerging companies with a promising future and high growth potential due to technological and product advancements, market giants such as Square Pharmaceuticals, Incepta, Beximco, Renata, etc have a strong market presence and hence it will still be a challenge for the new entrants to be able to dominate the existing market scenario.
- **Threat of substitution -** Substitute products to drugs and medication such as ayurvedic, herbal, homeopathic drug manufacturing companies are producing some drugs that have the same function as that of the drugs produced by the pharmaceutical giants in our country. Yet, the market demand for these substitutes is still considered low compared to the drugs

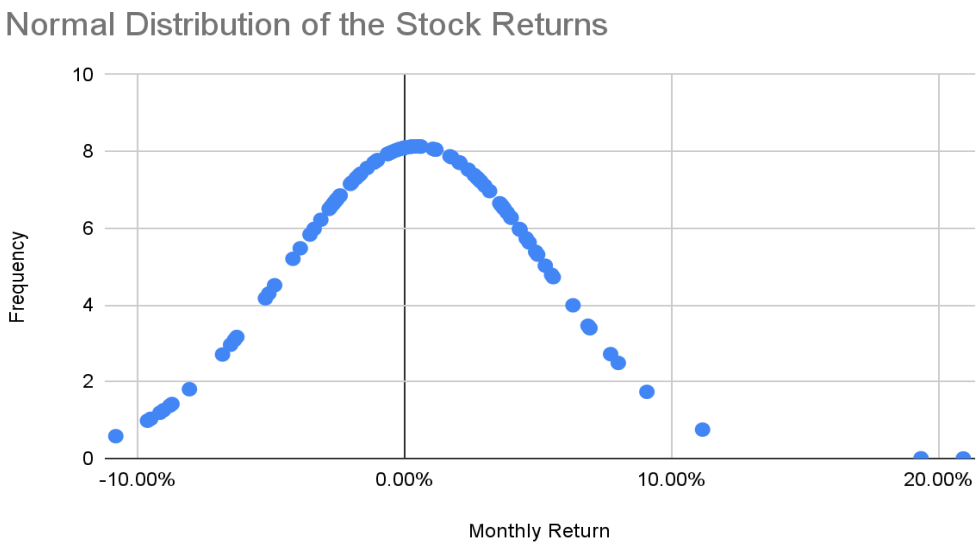
produced by the local pharmaceutical companies, and hence we can say the threat of substitute products is **low** in the industry as maintaining the same quality and affordability of the alternate drugs can be considered a big challenge.

- **Bargaining power of suppliers -** Since the pharmaceutical industry in Bangladesh largely depends on the import of Active Pharmaceutical Ingredients (API), hence the suppliers of APIs have a **high bargaining power.** Bangladesh depends on countries like China, Germany, Switzerland, etc for the import of APIs as there is currently no API manufacturing plant made for the domestic market (Bangladesh.uz). This gives the international suppliers a strong bargaining power.
- **Bargaining power of buyers -** Since most local companies in Bangladesh produce medicines whose prices are similar to one another, this gives the customers very **little bargaining power**. Pharmaceutical companies in Bangladesh promote and distribute their products through wholesale and pharmaceutical retail shops as well as through providing supplies to different medical practitioners around the country.

Although the domestic market is not yet substantial enough for the setup of API manufacturing plants which can help streamline the process of local production of APIs in the future, the government is in plans to set up API facility parks in the country (Bangladesh.uz). This will create new opportunities for the local companies to diversify their product offerings and offer high quality medicines at an even cheaper price than the current imported ones.

Descriptive Analysis of Square Pharmaceuticals





Analysis of Stock Return Distribution (Last 10 Years)

📊 Key Statistics:

- **Standard Deviation: ≈ 4.91%** (0.049)
- **Variance: ≈ 0.0024**
- **Skewness: 0.76** (Moderately right-skewed)
- **Kurtosis: 3.49** (Slightly more peaked than normal)

Interpretation:

Dispersion (Volatility & Risk)

The standard deviation of the stock returns is 0.049, meaning that the monthly stock returns of Square Pharmaceuticals typically fluctuate by **~4.91%** around the average. A higher standard deviation means the stock has moderate to high volatility, indicating potentially higher risk.

- **Shape (Skewness & Kurtosis)**

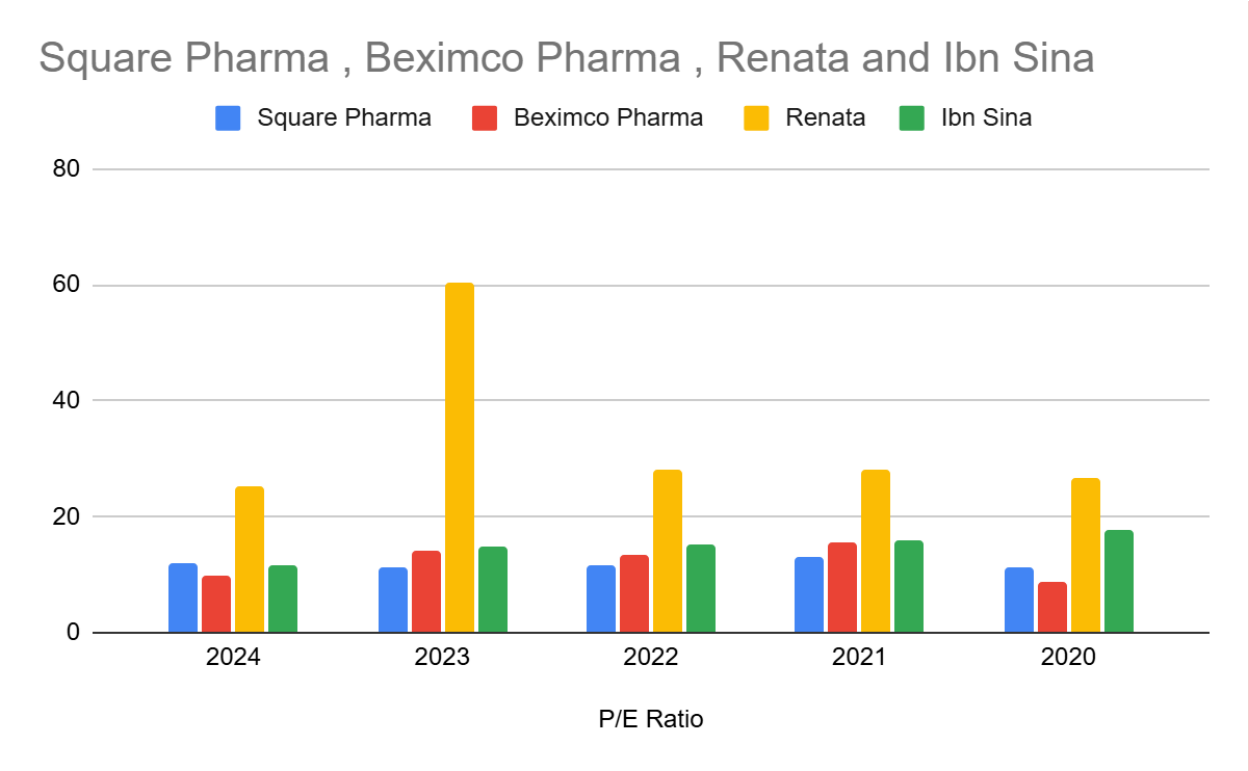
The skewness of the stock returns is equal to 0.76. This means the curve of the "stock returns over time" shown in the figure above is positively skewed. A moderate positive skewness value also means that the curve is right-tailed, which further means with Square Pharmaceuticals stocks - there is a pattern and probability of more frequent small losses but occasional larger gains.

The **kurtosis value** of **3.49** indicates that the distribution is **leptokurtic** (more extreme values than a normal distribution), indicating **a greater likelihood of extreme price swings** (both large gains and losses). This suggests that while most price changes are moderate, there are **occasional sharp jumps or drops**. Investors and analysts should be aware that such a distribution may present **higher risks** due to these potential outliers.

Risk & Stability Implications

The Kurtosis value is greater than 3 which usually would have meant the Square Pharmaceuticals stocks have **high volatility** (possibility of extreme price movements). Adding onto that, it is a **right-skewed distribution** that suggests occasional strong returns. However, the Kurtosis value being greater than 3 is due to the few outliers. This value is not the best representation of the performance of all the Square Pharmaceuticals stocks. So, the Kurtosis value can be illusory since and hence the the returns of Square Pharmaceuticals are generally very stable. So, the analysis implies that investors can confidently invest in Square Pharmaceuticals without expecting significant risk.

Relative Valuation Methods



P.S All P/E ratios are taken from June 30 of their respective years from Annual Reports

Square Pharma has the lowest p/e ratio among all, the reason being they are the biggest pharma industry with the highest market cap among their competitors, which shows their relatively stable growth.

If we compare Square Pharmas P/E ratio to all 3 companies we can see that only Renata has a very high P/E ratio compared to Square Pharma, which can be both good and bad. People can see Renata as a high growth company or it is also possible that their shares are overvalued.

Earnings Growth: A consistently low P/E (average 11.84) suggests Square Pharma has stable earnings growth but lacks the high growth expectations of peers like Renata.

Dividend Payouts: Square Pharma's focus on stable dividends rather than reinvesting heavily into growth may contribute to its conservative valuation.

Inflation and Currency Risks: Persistent economic challenges in Bangladesh, such as inflation and BDT depreciation, could erode investor confidence in long-term profitability growth.

Evaluation of Findings

A number of different valuation methods have been used to conduct this equity research report on Square Pharmaceuticals. Our report incorporates FCFF, FCFE, DDM, and P/E ratio to value the company and tries to draw comparisons between Square Pharma and its peers in the industry. Each method has its own advantages and limitations, and some differences in assumptions, which are discussed below.

Valuation Method	**Intrinsic Value/Share**
Dividend Discount Model (DDM)	**157.99**
Free Cash Flows to Firm (FCFF)	**210.98**
Free Cash Flows to Equity (FCFE)	**208**
P/E Ratio (Relative Valuation)	**Market-driven, not directly given**

Growth Assumptions:

The DDM is a two-stage model which assumes that the firm will grow at two constant rates, the first being higher and the second being lower and more sustainable, continuing to perpetuity. This is an oversimplification as it does not take into account any retained earnings that the company might reinvest, which would have a positive effect on its growth rate.

The FCFF and FCFE models take into account retained earnings and reinvestments along with projections of future cash flows, which allow these models to produce a higher valuation of the company and an intrinsic value which is closer to the actual price of the stock today, thereby showcasing its accuracy.

The P/E ratio is based on historical data rather than future projections, and highlights more on current market sentiments rather than what the intrinsic value is.

Risk and Discount Rate

The DDM and FCFE models use the market capitalization rate (14.15%) and cost of equity (12.45%) to discount the forecasted values respectively. This makes them sensitive to changes in leverage taken by the company.

On the other hand, the FCFF model uses the WACC (12.36%) as the discount rate. This is relatively lower than the rest as it takes into account debt funding, thereby giving the highest valuation among the three. This also gives the closest valuation to the actual share price.

Contrasting to the others, the P/E ratio does fundamentally reflect the risk and market sentiment towards the stock, but does not have any discount rate factors as it is based on historical data.

Market conditions and the Industry

The P/E ratio best reflects market sentiments as it shows how the market values the stock relative to earnings. Compared to the industry average of 12.36, Square Pharma has an average P/E of 11.84, showing that it is a mature firm with a stable ratio of price to earnings. However, its P/E is less than its three other competitors, showing that its stock may be undervalued.

While the DDM calculations show an intrinsic value of Tk.157.99, the FCFF and FCFE valuations show Tk.210.98 and Tk.208 respectively, which is much higher and more representative of the actual market price. This indicates that investors should focus more on cash flows projections than simply dividends to see how well the company is doing.

Capital Structure and Leverage Impact:

The FCFE is most affected by leverage and is sensitive to changes in capital structure, but is the most beneficial for equity holders; FCFF accounts for both equity and debt so that its value projections are before any debt payments, making it the highest valuation.

In contrast, DDM does not consider leverage at all, giving it a lower value; the P/E ratio considers the market outlook and so is most volatile and its movements are not related to capital structure directly.

Conclusion & Recommendations

Let us start with Square Pharmaceuticals.Taking into consideration the FCFF and FCFE values we provided in our equity report of 210.98 and 208, the company is accurately valued on the stock exchange (BDT 210) when we evaluate the stock value based on cashflows. The stock's price closely tracks its fundamental cash flow generation, indicating limited upside potential unless new growth catalysts emerge. Therefore, a Hold recommendation is warranted at this time. On the other hand, for the value-driven investor or someone having very optimistic feelings for this company, a buy recommendation would be made.

The multi-stage DDM value of 157.99 suggests that it is slightly overvalued relative to its current price at 210.9. With this approach, since higher growth rates in dividends are considered in some periods, valuation indicates small room for further appreciation; hence, investors will want to hold on unless convinced by optimistic growth forecasts.

Although the P/E ratio of 11.84 seems low compared to other P/E values we derived, we must remember the fact that Square Pharmaceuticals is the market leader in the pharmaceutical industry — meaning that it has reached its maturity stage. The P/E ratio being low also suggests that the stock could be relatively undervalued in contrast to its earnings. A **buy** recommendation would be made for value-driven investors based on this metric.

All things considered, for Square Pharmaceuticals, I would recommend you **hold** if you're the type of investor who is conservative with their approach and insists on stock price reflecting intrinsic value (if you already own Square Pharmaceuticals stock). Even if you're a conservative investor, if you already do not own Square Pharmaceutical stock, I would tell you to **buy**. If you're a value-driven investor, I would again recommend you buying Square stock. The general consensus for Square pharmaceuticals based on our evaluation is **BUY**.

Industry average P/E is 12.63. Our recommendations based on the P/E valuationis as follows:

- **Beximco Pharma (P/E: 12.346)**: **Recommendation**: ***Hold***
- Beximco's P/E multiple of 12.346 is almost at par with the industry average P/E of 12.63, thus fairly valued. The stock price reflects its earnings potential, and further upside depends on growth catalysts. A Hold is recommended..
- **Renata (P/E: 33.684)**: **Recommendation**: ***Sell***
  Renata's P/E multiple is much higher than the industry average, hence the stock is likely overvalued unless the company delivers substantial growth in earnings to justify the premium valuation. A Sell is indicated for risk-averse investors.
- **Ibn Sina (P/E: 15.066)**: **Recommendation**: ***Hold/Buy*** Ibn Sina's P/E is above the industry average but not excessively so. This could indicate moderate overvaluation. Investors **confident in the company's growth** prospects *may consider* **buying**, while others should **hold** to monitor performance.

Assumptions and Limitations

To calculate our growth rate projections for the dividend of the first 5 years (g) (FY19-24) we averaged the rate of change in the dividends of those years. For the dividends of the forecasted

years/terminal growth rate in FCFF (gs), we took the average growth rate of FY23 and FY24 and then assumed that the stable growth rate would be at that same rate for the next 6 years because of how similar those dividends were and because market leaders like Square tend to give stable dividends each year. For our revenue projections, we averaged the changes in revenues from FY19-24, and subsequently used that % change to project forecasted revenues.

For our WACC values, we used the D/E ratio and cost of equity to find debt. We could not find the standalone interest expense for FY20. We also assumed constant growth rates for changes in depreciation. As for capital expenditure, we deducted changes in "Plant, Property & Equipment" from one fiscal year to the previous, then made an average of those values to project an average rate of CapEx and used those figures in our FCFF valuations.

Limitations of our analysis include the fact that we did not consider the volatility of our stock prices in relation to political upheavals, notably one that took place during the July revolution. Moreover, DPS in FY21-22 went up by a large amount (51.28%), most likely due to the COVID vaccines that were made available at that time and the pandemic in general. We again averaged this in for our growth rate over the 5 years and did not consider it an outlier, which ***may*** be giving us a positively skewed value due to the extenuous circumstances in that period. Moreover, we did not analyse using the CAPM model, which means that we did not consider the market risk premium, risk-free rates, volatility (beta) for the selected company.

APPENDIX

SQUARE Pharma

SQUARE PHARMACEUTICALS LTD.

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2020

Particulars	Notes	Amount in Taka	
		2019-2020	2018-2019
Cash Flows From Operating Activities:			
RECEIPTS:			
Collections from Sales		52,909,065,970	46,430,571,626
Exchange Fluctuation Gain/(Loss)		2,216,358	4,868,172
Others		33,621,327	1,061,812,219
		52,944,903,655	**47,497,252,017**
PAYMENTS:			
Purchase of Raw and Packing Materials		17,028,927,749	13,624,279,051
Manufacturing and Operating Expenses		13,310,516,868	11,231,977,915
Value Added Tax		7,049,769,814	5,909,830,520
Finance Cost		107,090	76,974
Income Tax Expenses		3,830,869,094	3,173,411,708
Workers Profit Participation Fund		802,781,404	856,551,384
Others		30,234,440	110,410,713
		42,053,206,459	**34,906,538,265**
Net cash Generated from operating activities (A)	36	**10,891,697,196**	**12,590,713,752**
Cash Flows From Investing Activities			
Purchase of Fixed Assets		(1,829,129,293)	(1,988,630,413)
Disposal of Fixed Assets		60,742,370	66,594,884
Investment		(3,032,425,685)	132,488,925
Non Controlling Interest (Payment)		-	(209,054,502)
Short Term Loan		(410,519,054)	194,904,297
Gain on Sale of Marketable Securities		(8,120,460)	76,949,340
Interest Received		2,712,143,496	1,407,175,500
Dividend Received		234,546,484	358,507,847
Net cash used/provided by investing activities (B)		**(2,272,762,142)**	**38,935,878**
Cash Flows From Financing Activities			
Dividend Paid		(3,313,835,557)	(2,654,607,924)
Net cash used by financing activities (C)		**(3,313,835,557)**	**(2,654,607,924)**
Increase in Cash and Cash Equivalents (A+B+C)		**5,305,099,497**	**9,975,041,706**
Net Effect of Foreign Currency Translation on Cash and Cash Equivalents		5,046,598	31,625,635
Cash and Cash Equivalents at the Opening of SFRL		-	**127,850,615**
Cash and Cash Equivalents at the Opening of SHNL		-	**84,685,564**
Cash and Cash Equivalents at the beginning of Year		**26,923,168,224**	**16,703,964,704**
Cash and Cash Equivalents at the ending		**32,233,314,319**	**26,923,168,224**
Net Operating Cash Flow per Share (NOCFPS)	37	**12.90**	**14.91**
Number of Shares used to compute NOCFPS		844,239,058	844,239,058

SQUARE PHARMACEUTICALS LTD.

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2022

Particulars	Notes	Amount in Taka	
		2021-2022	2020-2021
Cash Flows Generated from/(Used in) Operating Activities:			
Receipts from Customers		66,009,972,969	58,081,104,709
Receipts from Others		126,812,094	118,537,198
Payments to Suppliers		(21,480,547,982)	(19,253,132,951)
Payments for Manufacturing and Operating Expenses		(18,025,929,296)	(14,956,206,206)
Payment of Value Added Tax		(8,809,018,591)	(7,643,229,379)
Cash Generated from Operating Activities		17,821,289,195	16,347,073,371
Interest Paid		(29,491)	(13,443)
Payment of Income Tax		(4,479,719,825)	(4,592,844,411)
Payment to WPPF & WF		(937,796,627)	(859,269,098)
Others		(58,108,805)	(15,098,053)
Net Cash Generated from Operating Activities		**12,345,634,446**	**10,879,848,366**
Cash Flows from/(Used in) Investing Activities:			
Acquisition of Property, Plant and Equipment		(3,001,781,789)	(2,990,302,131)
Proceeds from Sale of Property, Plant and Equipment	34	130,700,166	80,127,085
Long Term Investment		(2,316,175,769)	(1,057,572,128)
Investment in Marketable Securities		213,339,812	(74,328,438)
Interest Received		2,890,660,506	2,893,486,926
Dividend Received		395,011,790	419,626,799
Short Term Loan		-	4,885,090,120
Net Cash Used in Investing Activities		**(1,688,245,284)**	**4,156,128,233**
Cash Flows from/(Used in) Financing Activities:			
Payment of Dividend		(5,564,235,770)	(3,923,189,557)
Net Cash Used in Financing Activities		**(5,564,235,770)**	**(3,923,189,557)**
Net Increase/(Decrease) in Cash and Cash Equivalents		5,093,153,392	11,112,787,042
Net Effect of Foreign Exchange Fluctuation on Cash and Cash Equivalent		456,279,255	8,868,057
Cash and Cash Equivalents as at 30 June 2021		43,354,969,418	32,233,314,319
Cash and Cash Equivalents as at 30 June 2022		**48,904,402,066**	**43,354,969,418**
Net Operating Cash Flow (NOCF) per Share	32	**13.93**	**12.27**
Number of Shares used to compute NOCF per Share		886,451,010	886,451,010

SQUARE PHARMACEUTICALS PLC.

Statement of Cash Flows
For the Year Ended 30 June 2024

Particulars	Notes	Amount in Taka	
		July'23 - June'24	July'22 - June'23
Cash Flows from Operating Activities:			
Receipts from Customers		69,627,932,576	66,403,580,922
Receipts from Others		2,488,924,752	215,159,055
Payments to Suppliers		(24,589,734,089)	(24,080,940,983)
Payments for Manufacturing and Operating Expenses		(20,982,703,226)	(17,743,440,803)
Payment of Value Added Tax		(8,767,808,833)	(9,266,965,756)
Cash Generated from Operations		**17,776,611,180**	**15,527,392,436**
Interest Paid		(27,943)	(21,966)
Payment of Income Tax		(4,211,207,101)	(5,124,279,199)
Payment of WPPF & WF		(1,054,856,121)	(1,051,227,994)
Others		5,186,563,564	(1,221,290,066)
Net Cash from Operating Activities		**17,697,083,579**	**8,130,573,211**
Cash Flows from Investing Activities:			
Purchase of Property, Plant and Equipment		(3,977,592,566)	(2,341,111,651)
Proceeds from Sale of Property, Plant and Equipment	33	97,439,486	78,331,531
Investment in Subsidiaries and Associates		-	(52,530,000)
Long Term Investment - Others		(1,388,514,977)	(597,315,847)
Investment in Marketable Securities		(5,536,844,362)	(260,698,045)
Interest Received		3,566,958,368	3,874,913,010
Dividends Received	26	685,464,365	552,966,126
Net Cash from/(Used in) Investing Activities		**(6,553,089,686)**	**1,254,555,124**
Cash Flows from Financing Activities:			
Payment of Dividend		(9,237,050,132)	(8,802,918,480)
Unclaimed Dividend transferred to CMS Fund		(37,699,634)	(32,229,859)
Net Cash Used in Financing Activities		**(9,274,749,766)**	**(8,835,148,339)**
Net Increase/(Decrease) in Cash and Cash Equivalents		**1,869,244,127**	**549,979,996**
Cash and Cash Equivalents at 01 July	11	50,079,192,249	48,904,402,066
Effect of Exchange Rate Fluctuations on Cash and Cash Equivalents		357,166,981	624,810,186
Cash and Cash Equivalents at 30 June	11	**52,305,603,356**	**50,079,192,249**
Net Operating Cash Flow (NOCF) per Share	31	**19.96**	**9.17**

SQUARE PHARMACEUTICALS LTD.

STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2020

Particulars	Notes	Amount in Taka	
		30 June 2020	30 June 2019
ASSETS:			
Non-Current Assets:		**27,464,045,923**	**26,770,127,954**
Property, Plant and Equipment-Carrying Value	2	20,567,202,390	20,760,435,864
Investment - Long Term (at Cost)	3	4,204,950,666	2,996,252,356
Investment in Marketable Securities (Fair Value)	4	2,691,892,867	3,013,439,734
Current Assets:		**46,886,757,989**	**38,291,544,874**
Inventories	5	5,687,406,329	4,596,512,673
Trade Debtors	6	1,520,300,337	1,561,818,167
Advances, Deposits and Prepayments	7	2,560,646,884	2,272,974,744
Short Term Loan	8	4,885,090,120	2,937,071,066
Cash and Cash Equivalents	9	32,233,314,319	26,923,168,224
TOTAL ASSETS		**74,350,803,912**	**65,061,672,828**
SHAREHOLDERS' EQUITY AND LIABILITIES:			
Shareholders' Equity:		**69,849,980,823**	**60,806,054,977**
Share Capital	10	8,442,390,580	7,890,084,660
Share Premium	11	2,035,465,000	2,035,465,000
General Reserve		105,878,200	105,878,200
Tax Exemption Reserve		2,211,743,936	2,211,743,936
Gain on Marketable Securities (Unrealized)		(452,626,946)	145,585,283
Retained Earnings		57,507,130,053	48,417,297,898
Non-Current Liabilities:		**1,272,750,021**	**1,294,346,873**
Deferred Tax Liability	12	1,272,750,021	1,294,346,873
Current Liabilities:		**3,228,073,068**	**2,961,270,978**
Trade Creditors	13	541,067,905	708,882,266
Liabilities for Expenses	14	128,241,317	238,201,942
Liabilities for Other Finance	15	2,558,763,846	2,014,186,770
TOTAL SHAREHOLDERS' EQUITY AND LIABILITIES		**74,350,803,912**	**65,061,672,828**
Net Assets Value per Share (NAV)	25	**82.74**	**72.02**
Number of Shares used to compute NAV		844,239,058	844,239,058

The annexed notes (1-40) form an integral part of these financial statements.

Signed as per our separate report of same date.

SQUARE PHARMACEUTICALS LTD.

STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2022

Particulars	Notes	Amount in Taka	
		30 June 2022	30 June 2021
ASSETS			
Non-Current Assets		**34,786,763,350**	**31,656,449,304**
Property, Plant and Equipment	4	22,861,293,922	21,769,594,804
Investment in Subsidiaries and Associates	5	2,572,322,483	1,672,322,483
Investment in Marketable Securities	6	4,346,770,865	4,624,331,706
Long Term Investment - Others	7	5,006,376,080	3,590,200,311
Current Assets		**62,748,423,516**	**54,945,934,391**
Inventories	8	8,176,775,798	7,245,396,928
Trade and Other Receivables	9	3,395,080,462	2,916,178,759
Advances, Deposits and Prepayments	10	2,272,165,190	1,429,389,286
Cash and Cash Equivalents	11	48,904,402,066	43,354,969,418
TOTAL ASSETS		**97,535,186,866**	**86,602,383,695**
SHAREHOLDERS' EQUITY AND LIABILITIES			
Shareholders' Equity		**93,007,355,089**	**82,217,574,950**
Share Capital	12	8,864,510,100	8,864,510,100
Share Premium		2,035,465,000	2,035,465,000
General Reserve		105,878,200	105,878,200
Fair Value Reserve	13	830,615,740	1,139,626,144
Retained Earnings	14	81,170,886,049	70,072,095,506
Non-Current Liabilities		**1,178,740,290**	**1,274,853,017**
Deferred Tax Liabilities	15	1,178,740,290	1,274,853,017
Current Liabilities		**3,349,091,486**	**3,109,955,728**
Trade Payables	16	636,003,309	614,279,333
Other Payables	17	1,491,412,802	1,366,122,637
Income Tax Payable	18	911,504,873	572,675,072
Accrued Expenses	19	180,534,472	181,712,947
Unclaimed Dividend	20	129,636,029	375,165,739
TOTAL LIABILITIES		**4,527,831,777**	**4,384,808,745**
TOTAL SHAREHOLDERS' EQUITY AND LIABILITIES		**97,535,186,866**	**86,602,383,695**
Net Assets Value (NAV) per Share	30	**104.92**	**92.75**
Number of Shares used to compute NAV		886,451,010	886,451,010

SQUARE PHARMACEUTICALS PLC.

Statement of Financial Position
As at 30 June 2024

Particulars	Notes	Amount in Taka	
		30 June 2024	30 June 2023
ASSETS			
Non-Current Assets:			
Property, Plant and Equipment	04	23,655,156,304	21,767,202,106
Investment in Subsidiaries and Associates	05	2,624,852,483	2,624,852,483
Investment in Marketable Securities	06	9,001,712,647	4,589,867,031
Long Term Investment - Others	07	6,992,206,904	5,603,691,927
		42,273,928,338	**34,585,613,547**
Current Assets:			
Inventories	08	10,732,803,469	10,051,709,290
Trade and Other Receivables	09	4,754,218,234	6,461,221,914
Advances, Deposits and Prepayments	10	1,943,361,351	3,577,391,473
Cash and Cash Equivalents	11	52,305,603,356	50,079,192,249
		69,735,986,410	**70,169,514,926**
TOTAL ASSETS		**112,009,914,748**	**104,755,128,473**
EQUITY AND LIABILITIES			
EQUITY:			
Share Capital	12	8,864,510,100	8,864,510,100
Share Premium		2,035,465,000	2,035,465,000
General Reserve		105,878,200	105,878,200
Fair Value Reserve	13	(270,973,443)	734,507,296
Retained Earnings	14	95,060,239,763	88,776,603,462
TOTAL EQUITY		**105,795,119,620**	**100,516,964,058**
LIABILITIES:			
Non-Current Liabilities:			
Deferred Tax Liabilities	15	625,749,549	1,026,086,605
		625,749,549	**1,026,086,605**
Current Liabilities:			
Trade Payables	16	686,238,794	799,397,133
Other Payables	17	3,512,907,803	1,682,969,880
Current Tax Liabilities	18	912,265,905	356,095,553
Accrued Expenses	19	285,649,448	214,617,454
Unclaimed Dividend	20	191,983,629	158,997,790
		5,589,045,579	**3,212,077,810**
TOTAL LIABILITIES		**6,214,795,128**	**4,238,164,415**
TOTAL EQUITY AND LIABILITIES		**112,009,914,748**	**104,755,128,473**
Net Assets Value (NAV) per Share	29	**119.35**	**113.39**

SQUARE PHARMACEUTICALS LTD.

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2020

Particulars	Notes	Amount in Taka	
		2019-2020	2018-2019
GROSS REVENUE	16	**52,926,218,655**	**44,595,486,334**
Less: Value Added Tax		7,049,769,814	5,909,830,520
NET REVENUE		**45,876,448,841**	**38,685,655,814**
COST OF GOODS SOLD	17	(22,536,669,960)	(19,711,065,988)
GROSS PROFIT		**23,339,778,881**	**18,974,589,826**
OPERATING EXPENSES:		**(8,602,829,820)**	**(7,749,309,449)**
Selling & Distribution Expenses	18	(7,382,790,764)	(6,559,717,827)
Administrative Expenses	19	(1,219,931,966)	(1,189,514,648)
Finance Cost	20	(107,090)	(76,974)
PROFIT FROM OPERATIONS		**14,736,949,061**	**11,225,280,377**
Other Income	21	3,307,701,994	3,438,272,847
PROFIT BEFORE WPPF & WF		**18,044,651,055**	**14,663,553,224**
Allocation for WPPF & WF	22	(859,269,098)	(698,264,439)
PROFIT BEFORE TAX		**17,185,381,957**	**13,965,288,785**
Income Tax Expenses-Current	23	(4,251,005,177)	(3,356,746,041)
Income Tax Expenses-Deferred	12	21,596,852	(45,679,213)
PROFIT AFTER TAX		**12,955,973,632**	**10,562,863,531**
Other Comprehensive Income:			
Gain/(Loss) on Marketable Securities (Unrealized)	24	(598,212,229)	(26,427,408)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		**12,357,761,403**	**10,536,436,123**
Earnings Per Share (EPS)	26	**15.35**	**12.51**
Number of Shares used to compute EPS		844,239,058	844,239,058

SQUARE PHARMACEUTICALS LTD.

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2022

Particulars	Notes	Amount in Taka	
		2021-2022	2020-2021
Gross Revenue	21	**66,406,959,950**	**58,346,258,281**
Less: Value Added Tax		8,809,018,591	7,643,229,379
Net Revenue		**57,597,941,359**	**50,703,028,902**
Cost of Goods Sold	22	(27,958,026,980)	(24,800,035,555)
Gross Profit		**29,639,914,379**	**25,902,993,347**
Operating Expenses:		**(11,771,769,958)**	**(9,776,875,140)**
Selling and Distribution Expenses	23	(10,439,270,466)	(8,564,472,484)
Administrative Expenses	24	(1,332,470,001)	(1,212,389,213)
Finance Cost		(29,491)	(13,443)
Other Operating Income	25	583,091,349	127,405,255
Profit from Operations		**18,451,235,770**	**16,253,523,462**
Other Income	26	3,624,552,098	3,440,205,708
Profit before WPPF & WF		**22,075,787,868**	**19,693,729,169**
Allocation for WPPF & WF	27	(1,051,227,994)	(937,796,627)
Profit before Tax		**21,024,559,874**	**18,755,932,542**
Income Tax Expenses:	28	**(4,607,063,271)**	**(4,012,667,932)**
Current Tax (Expense)		(4,618,549,626)	(4,187,481,946)
Deferred Tax (Expense)/Income		11,486,354	174,814,014
Net Profit after Tax		**16,417,496,603**	**14,743,264,610**
Other Comprehensive Income:			
Unrealised Gain/(Loss) on FVOCI Financial Assets		**(309,010,404)**	**1,532,431,867**
Unrealised Gain/(Loss) during the Period	29	(393,636,776)	1,769,170,100
Deferred Tax (Expense)/Income	15.2	84,626,372	(236,738,233)
Total Comprehensive Income for the Year		**16,108,486,199**	**16,275,696,477**
Earnings per Share (EPS)	31	**18.52**	**16.63**
Number of Shares used to compute EPS		886,451,010	886,451,010

SQUARE PHARMACEUTICALS PLC.

Statement of Profit or Loss and Other Comprehensive Income
For the Year Ended 30 June 2024

Particulars	Notes	Amount in Taka	
		July'23 - June'24	July'22 - June'23
Net Revenue	21	**59,794,584,816**	**58,419,084,978**
Cost of Goods Sold	22	(32,526,763,732)	(30,384,776,887)
Gross Profit		**27,267,821,084**	**28,034,308,091**
Selling and Distribution Expenses	23	(11,930,940,486)	(9,741,054,105)
Administrative Expenses	24	(1,854,428,481)	(1,646,959,821)
Finance Cost		(27,943)	(21,966)
Operating Expenses		**(13,785,396,910)**	**(11,388,035,892)**
Profit before Other Operating Income		**13,482,424,174**	**16,646,272,199**
Other Operating Income	25	2,478,176,589	1,228,423,054
Profit from Operations		**15,960,600,763**	**17,874,695,253**
Income from Investments	26	4,921,634,458	4,277,283,291
Profit before contribution to WPPF & WWF		**20,882,235,221**	**22,151,978,544**
Contribution to WPPF & WWF		(994,392,153)	(1,054,856,121)
Profit before Tax		**19,887,843,068**	**21,097,122,423**
Current Tax (Expense)		(4,567,377,453)	(4,768,869,879)
Deferred Tax (Expense) / Income		270,906,291	141,974,969
Income Tax Expense	27	**(4,296,471,162)**	**(4,626,894,910)**
Profit after Tax		**15,591,371,906**	**16,470,227,513**
Unrealised Gain/(Loss) on Marketable Securities	28	(1,134,911,504)	(106,787,160)
Deferred Tax (Expense) / Income	15.2	129,430,765	10,678,716
Other Comprehensive Income		**(1,005,480,739)**	**(96,108,444)**
Total Comprehensive Income		**14,585,891,167**	**16,374,119,069**
Earnings per Share (EPS)	30	**17.59**	**18.58**

PE RATIOS
Beximco

Stock Market Performance

Dhaka Stock Exchange (DSE)

Particulars	30 June 2023	30 June 2022	30 June 2021	30 June 2020	30 June 2019
Share Price- Dhaka	BDT 146.2	BDT 154.6	BDT 177.3	BDT 69.2	BDT 83.5
Share Price- AIM	GBP 0.355	GBP 0.705	GBP 0.860	GBP 0.355	GBP 0.389
Market Capitalization- Dhaka Price	BDT 65.22 bn	BDT 68.9bn	BDT 79.1bn	BDT 28.1bn	BDT 33.9bn
EPS- Taka	10.34	11.48	11.49	7.88	7.48
P/E Ratio (Dhaka Price)	14.13	13.5	15.4	8.8	11.2
Dividend (Cash)	35% (Proposed)	35%	35%	15%	15%
Stock Dividend	--	--	--	10%	-

IBN Sina

Earning per Share (restated)	-	-	-	-	-	-
Earning per Share (orginal)	21.46	19.38	19.39	15.66	12.56	10.76
Price Earning Ratio (Time)	11.64	14.79	15.30	15.76	17.84	24.54
Quoted Price per Share-DSE (Year End)	249.80	286.60	296.70	246.70	224.10	264.10
Dividend per Share	63% Cash	60% Cash	60% Cash	47% Cash	38.50% Cash	30% Cash

RENATA

Effective dividend rate %	1.19%	0.51%	1.09%	1.17%	1.36%
Price earnings ratio (Times)	25.20	60.26	28.22	28.10	26.64
Market price per share (Taka)	770	1,218	1,345.60	1,319.70	1,026.20
Price/Equity ratio (Times)	77.01	121.79	134.56	131.97	102.62

SQUARE

Quoted Price per Share - DSE	210.90	210.20	216.70	215.50	172.50
Quoted Price per Share - CSE	211.50	209.80	216.90	215.60	172.50
Price Earnings Ratio-DSE (Time)	11.99	11.31	11.70	12.96	11.24
Price Earnings Ratio-CSE (Time)	12.02	11.29	11.71	12.96	11.24
Market Capitalization-DSE (in billion)	186.95	186.33	192.09	191.03	145.63
Market Capitalization-CSE (in billion)	187.48	185.98	192.27	191.12	145.63

REFERENCE

The Daily Star. (2024, October 3). Ibn Sina Pharma announces 63% cash dividend, highest in 7 years. *The Daily Star*. https://www.thedailystar.net/business/news/ibn-sina-pharma-announces-63-cash-dividend-highest-7-years-3718706

The Daily Star. (2024c, November 13). Renata's profit falls 42% despite higher sales in Q1. *The Daily Star*. https://www.thedailystar.net/business/news/renatas-profit-falls-42-despite-higher-sales-q1-3752001